

1 Balance Day Adjustments

Question 1
Oz Business College

1

2

6

x

\$39,000

=

\$13,000

2

General Journal			
Date	Details	Debit	Credit
2019 Jun 30	Rent Expense Prepaid Rent <i>Rent expense for the year.</i>	13,000	13,000

3

Prepaid Rent (asset)					
2019 May 1	Bank	39,000	2019 Jun 30	Rent Expense	13,000

Rent Expense					
2019 Jun 30	Prepaid Rent	13,000			

Question 1 continued
Oz Business College

4

Profit and Loss

2019 Jun 30	Wages	30,000	2019 Jun 30	Fees	51,000
	Advertising	2,000			
	Rent	13,000			
	Capital (Profit)	6,000			
		51,000			51,000

5

If the balance day adjustment had not been carried out the profit would have been:

- b overstated (wrong and too high) by \$13,000

6

Oz Business College
Balance Sheet (extract)
as at 30 June 2019

Current Assets	
Prepaid Rent	26,000

7

If the balance day adjustment had not been carried out the prepaid rent in the balance sheet on 30 June 2019 would have been:

- a overstated (wrong and too high) by \$13,000

Question 2
Car Care

1

4

12

x

\$2,400

=

\$800

2

General Journal			
Date	Details	Debit	Credit
2019 Jun 30	Insurance Expense Prepaid Insurance <i>Insurance expense for the year.</i>	800	800

3

Prepaid Insurance (asset)					
2019 Mar 1	Bank	2,400	2019 Jun 30	Insurance Expense	800

Insurance Expense					
2019 Jun 30	Prepaid Insurance	800			

4

Profit and Loss					
2019 Jun 30	Wages	24,200	2019 Jun 30	Fees	29,000
	Telephone	1,000			
	Insurance	800			
	Capital (Profit)	3,000			
		29,000			29,000

Question 2 continued
Car Care

5

If the balance day adjustment had not been carried out the profit would have been:

- b overstated (wrong and too high) by \$800

6

Car Care
Balance Sheet (extract)
as at 30 June 2019

Current Assets	
Prepaid Insurance	1,600
-----	-----

7

If the balance day adjustment had not been carried out the prepaid insurance in the balance sheet on 30 June 2019 would have been:

- a overstated (wrong and too high) by \$800

8

Profit and loss account entry:

Profit and Loss (extract)

2022					
Jun 30	Rent	26,100			
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Balance sheet entry:

Nannup Traders
Balance Sheet (extract)
as at 30 June 2022

Current Assets	
Prepaid Rent	900

Question 3
Cooee Costume Hire

1

General Journal

Date	Details	Debit	Credit
2019 Jun 30	Rent Expense Prepaid Rent <i>Rent expense for the year.</i>	38,400	38,400

2

General Ledger

Prepaid Rent

2019 Jun 30	Balance	39,100	2019 Jun 30	Rent Expense	38,400
				Balance c/d	700
		<u>39,100</u>			<u>39,100</u>
Jul 1	Balance b/d	700			

Rent Expense

2019 Jun 30	Prepaid Rent	38,400			
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3

Profit and Loss

2019 Jun 30	Rent	38,400			
----------------	------	--------	--	--	--

Question 3 continued
Cooee Costume Hire

4

Cooee Costume Hire
Balance Sheet (extract)
as at 30 June 2019

Current Assets	
Prepaid Rent	700

5

a

$$\$1,980 \times 2/12 = \$330$$

6

b

$$\text{Monthly rental is } \$7,320 / 12 = \$610$$

$$3 \text{ months} \times \$610 = \$1,830$$

7

d all of the above

8

$$b = \$20,200$$

$$\begin{aligned} &\text{prepaid rent } \$1,900 + \text{cash at bank } \$3,200 + \text{inventory } \$11,400 + \text{GST credits} \\ &\$1,400 + \text{accounts receivable } \$3,700 = \$21,600 \end{aligned}$$

Question 4
Wrightway Business College

1

General Journal

Date	Details	Debit	Credit
2019 Jun 30	Stationery Expense Stationery Supplies <i>Stationery expense for the year.</i>	700	700

2

General Ledger

Stationery Supplies

2019 Jun 30	Balance	900	2019 Jun 30	Stationery Expense	700
				Balance c/d	200
		<u>900</u>			<u>900</u>
Jul 1	Balance b/d	200			

Stationery Expense

2019 Jun 30	Stationery Supplies	700	2019 Jun 30	Profit and Loss	700
----------------	---------------------	-----	----------------	-----------------	-----

3

Profit and Loss

2019 Jun 30	Wages	4,000	2019 Jun 30	Fees	8,000
	Advertising	1,300			
	Stationery	700			
	Capital (Profit)	2,000			
		<u>8,000</u>			<u>8,000</u>

Question 4 continued
Wrightway Business College

4

If the supplies adjustment had not been carried out the profit for the year ended 30 June 2019 would be:

- b overstated (wrong and too high) by \$700

5

Wrightway Business College
Balance Sheet (extract)
as at 30 June 2019

Current Assets

Stationery	200
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6

If the stock of supplies adjustment had not been carried out the supplies (asset) in the balance sheet on 30 June 2019 would have been:

- b overstated by \$700

Question 5
WA Business College

1

General Journal

Date	Details	Debit	Credit
2019 Jun 30	Stationery Expense Stationery Supplies <i>Stationery expense for the year.</i>	3,500	3,500
	Rent Expense Prepaid Rent <i>Rent expense for the year.</i>	8,100	8,100

Question 5 continued
WA Business College

2

Stationery Supplies					
2019			2019		
Jun 30	Balance	3,700	Jun 30	Stationery Expense	3,500
				Balance c/d	200
		<u>3,700</u>			<u>3,700</u>
Jul 1	Balance b/d	200			

Stationery Expense					
2019			2019		
Jun 30	Stationery Supplies	<u>3,500</u>	Jun 30	Profit and Loss	<u>3,500</u>

Prepaid Rent					
2019			2019		
Jun 30	Balance	8,400	Jun 30	Rent Expense	8,100
				Balance c/d	300
		<u>8,400</u>			<u>8,400</u>
Jul 1	Balance b/d	300			

Rent Expense					
2019			2019		
Jun 30	Prepaid Rent	<u>8,100</u>	Jun 30	Profit and Loss	<u>8,100</u>

3

WA Business College
Balance Sheet (extract)
as at 30 June 2019

Current Assets	
Stationery	200
Prepaid Rent	300

Question 5 continued
WA Business College

4

Northam Traders
Balance Sheet (extract)
as at 30 June 2026

Current Assets	
Stationery	1,300
Prepaid Insurance	200

Question 6
Dynamic Coaching College

Profit and Loss (extract)

2020			
Jun 30	Insurance	4,200	
	Rent	21,000	
	Stationery	5,300	

Balance sheet entries:

Dynamic Coaching College
Balance Sheet (extract)
as at 30 June 2020

Current Assets	
Prepaid Insurance	800
Prepaid Rent	1,000
Stationery	700
Total Current Assets	2,500

Question 7
Geraldton Traders

Profit and Loss (extract)

2021		
Jun 30	Advertising	2,400
	Rent	26,000
	Stationery	2,100

Balance sheet entries:

Geraldton Traders
Balance Sheet (extract)
as at 30 June 2021

Current Assets	
Prepaid Advertising	1,500
Prepaid Rent	1,000
Stationery	900
Total Current Assets	3,400

Question 8
Movie Time DVD Hire

1 and 6

General Journal

Date	Details	Debit	Credit
2019 Jun 30	Telephone Accrued Expenses <i>Accrued expense on balance date.</i>	300	300

2

General Ledger

Telephone

2019 Jun 30	Balance	1,000	2019 Jun 30	Profit and Loss	1,300
	Accrued Expenses	300			
		<u>1,300</u>			<u>1,300</u>

Accrued Expenses

			2019 Jun 30	Telephone	300
--	--	--	----------------	-----------	-----

3

Profit and Loss

2019 Jun 30	Wages	34,000	2019 Jun 30	Fees	39,000
	Advertising	1,700			
	Telephone	1,300			
	Capital (Profit)	2,000			
		<u>39,000</u>			<u>39,000</u>

Question 8 continued
Movie Time DVD Hire

4

If the accrued expenses adjustment had not been carried out the profit for the year ended 30 June 2019 would have been:

- b overstated (wrong and too high) by \$300

5

Movie Time DVD Hire
Balance Sheet (extract)
as at 30 June 2019

Current Liabilities

Accrued Expenses	300
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6

If the accrued expenses adjustment had not been carried out the current liabilities in the balance sheet on 30 June 2019 would have been:

- b overstated (wrong and too high) by \$300

7

General Journal

Date	Details	Debit	Credit
2019 Aug 9	Accrued Expenses	300	
	Telephone	400	
	GST Credits	70	
	Cash at Bank		770
	<i>Payment of telephone account.</i>		

Question 8 continued
Movie Time DVD Hire

8

General Ledger

Accrued Expenses

2019				2019			
Aug 9	Bank		300	Jun 30	Telephone		300

Telephone

2019				2019			
Jun 30	Balance		1,000	Jun 30	Profit and Loss		1,300
	Accrued Expenses		300				
			1,300				1,300
Aug 9	Bank		400				

GST Credits

2019							
Aug 9	Bank		70				

Cash at Bank

				2019			
				Aug 9	Accrued Expenses/Telephone/GST		770

Question 9
Away Furniture Removals

1

General Journal

Date	Details	Debit	Credit
2026 Jun 30	Electricity Accrued Expenses <i>Accrued expense on balance date.</i>	200	200

2

General Ledger

Electricity

2026 Jun 30	Balance	2,500	2026 Jun 30	Profit and Loss	2,700
	Accrued Expenses	200			
		<u>2,700</u>			<u>2,700</u>

Accrued Expenses

2026 Jun 30	Electricity	200
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3

Away Furniture Removals
Balance Sheet (extract)
as at 30 June 2026

Current Liabilities

Accrued Expenses	200
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Question 9 continued
Away Furniture Removals

4

General Journal

Date	Details	Debit	Credit
2026 Aug 11	Accrued Expenses	200	
	Electricity	700	
	GST Credits	90	
	Cash at Bank		990
	<i>Payment of electricity account.</i>		

5

General Ledger

Accrued Expenses

2026 Aug 11	Bank	200	2026 Jun 30	Electricity	200
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Electricity

2026 Jun 30	Balance	2,500	2026 Jun 30	Profit and Loss	2,700
	Accrued Expenses	200			
		<u>2,700</u>			<u>2,700</u>
Aug 11	Bank	700			

GST Credits

2026 Aug 11	Bank	90			
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Cash at Bank

			2026 Aug 11	Accrued Expenses/Telephone	990
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Question 10
Harvey Traders

Profit and Loss (extract)

2027					
Jun 30	Wages	83,400			

Question 11
Leaky Plumbers

1

General Journal

Date	Details	Debit	Credit
2019 Jun 30	Wages Accrued Expenses <i>Accrued expense on balance date.</i>	300	300
	Rent Expense Prepaid Rent <i>Rent expense for the year.</i>	9,500	9,500
	Plumbing Supplies Expense Plumbing Supplies Asset <i>Plumbing supplies expense for the year.</i>	4,700	4,700

2

Profit and Loss

2019			2019		
Jun 30	Wages	29,400	Jun 30	Fees	66,000
	Rent	9,500			
	Plumbing Supplies	4,700			
	Capital (Profit)	22,400			

Question 11 continued
Leaky Plumbers

3

Leaky Plumbers Balance Sheet (extract) as at 30 June 2019	
Current Assets	
GST Credits	2,000
Prepaid Rent	1,500
Plumbing Supplies	300
<i>Total Current Assets</i>	3,800
Current Liabilities	
GST Payable	1,700
Accrued Expenses	300
<i>Total Current Liabilities</i>	2,000

Question 12
ABC Business College

1

General Journal			
Date	Details	Debit	Credit
2019 Jun 30	Unearned Income Fees <i>Fees Income for the year.</i>	30,000	30,000

Question 12 continued
ABC Business College

2

General Ledger

Unearned Income			
2019		2019	
Jun 30	Fees	Jun 30	Balance
	30,000		60,000
	Balance c/d		
	30,000		
	<u>60,000</u>		<u>60,000</u>
		Jul 1	Balance b/d
			30,000

Fees Income			
2019		2019	
Jun 30	Profit and Loss	Jun 30	Unearned Income
	30,000		30,000

3

Profit and Loss			
2019		2019	
Jun 30	Wages	Jun 30	Fees
	27,000		30,000
	Electricity		
	1,000		
	Capital (Profit)		
	2,000		
	<u>30,000</u>		<u>30,000</u>

4

If the unearned income adjustment had not been carried out the **profit** would have been:

- a understated (wrong and too low) by \$30,000

Question 12 continued
ABC Business College

5

ABC Business College	
Balance Sheet (extract)	
as at 30 June 2019	
Current Liabilities	
Unearned Income	30,000

6

If the unearned income adjustment had not been carried out the **current liabilities** in the balance sheet on 30 June 2019 would have been:

b overstated (wrong and too high) by \$30,000

Question 13 Dance World

1

General Journal

Date	Details	Debit	Credit
2021 Jun 30	Unearned Income Fees <i>Fees income for the year.</i>	27,000	27,000

2

General Ledger

Unearned Income

2021 Jun 30	Fees	27,000	2021 Jun 30	Balance	29,000
	Balance c/d	2,000			
		<u>29,000</u>			<u>29,000</u>
			Jul 1	Balance b/d	2,000

Fees Income

2019 Jun 30	Profit and Loss	<u>27,000</u>	2021 Jun 30	Unearned Income	<u>27,000</u>
----------------	-----------------	---------------	----------------	-----------------	---------------

3

Profit and Loss

2021 Jun 30	Wages	21,000	2021 Jun 30	Fees	27,000
	Advertising	5,000			
	Capital (Profit)	1,000			
		<u>27,000</u>			<u>27,000</u>

Question 13 continued
Dance World

4

Dance World Balance Sheet (extract) as at 30 June 2021	
Current Liabilities	
Unearned Income	2,000

5

a

Total Assets:

\$5,000 debtors + \$1,000 prepaid rent + \$9,000 motor vehicle + \$3,000 GST credits + \$8,000 inventory = \$26,000

Total Liabilities:

\$2,000 bank overdraft + \$7,000 unearned income + \$4,000 accrued expenses + \$6,000 loan from bank = \$19,000

Net Assets:

\$26,000 – \$19,000 = \$7,000

Question 14

WA Goldfield Tours

1

Accrual Accounting

Accrual accounting is a method of profit calculation in which:

- income is included in an income statement in the accounting period in which a service is provided or a sale of inventory is made
- an expense is included in an income statement in the accounting period in which the expense is generated.

The fees included in the calculation of the profit or loss for June 2021 were the 94 customers who paid for and received the June goldfields tour.

The insurance included in the calculation of the profit or loss for June 2021 was the insurance that had expired in June 2021.

2

General Journal

Date	Details	Debit	Credit
2021 Jun 1	Prepaid Insurance GST Credits Cash at Bank <i>Payment of insurance.</i>	840 84	924
5	Cash at Bank GST Payable Unearned Income <i>Fees received.</i>	7,931	721 7,210

Question 14 continued
WA Goldfield Tours

2

General Journal

Date	Details	Debit	Credit
9	Stationery Supplies GST Credits Accounts Payable <i>Purchase of stationery on credit.</i>	500 50	550
30	Wages Accrued Expenses <i>Accrued wages on 30 June 2021.</i>	720	720
	Insurance Expense Prepaid Insurance <i>Insurance expense for the year.</i>	70	70
	Stationery Expense Stationery Supplies <i>Stationery expense for the year.</i>	331	331
	Unearned Income Fees <i>Fees income for the year.</i>	6,580	6,580
Jul 7	Wages Accrued Wages Cash at Bank <i>Payment of wages.</i>	260 720	980

Question 14 continued
WA Goldfield Tours

3

WA Goldfield Tours Balance Sheet (extract) as at 30 June 2021	
Current Assets	
Cash at Bank	1,428
GST Credits (\$84 + \$50)	134
Prepaid Insurance	770
Stationery Supplies	169
<i>Total Current Assets</i>	2,501
Current Liabilities	
GST Payable	721
Accrued Expenses	720
Unearned Income	630
<i>Total Current Liabilities</i>	2,071

4

c \$700

Question 15
Geraldton Traders

1

General Journal

Date	Details	Debit	Credit
2019 Jun 30	Accrued Income Interest Income <i>Accrued income on balance date.</i>	4,000	4,000

2

General Ledger

Accrued Income

2019 Jun 30	Interest	4,000	
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Interest Income

2019 Jun 30	Profit and Loss	10,000	2019 Apr 30	Bank	6,000
				Accrued Income	4,000
		<u>10,000</u>			<u>10,000</u>

3

Profit and Loss (extract)

2019 Jun 30	Interest	10,000
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4

Geraldton Traders
Balance Sheet (extract)
as at 30 June 2019

Current Assets

Accrued Income	4,000
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Question 15 continued
Geraldton Traders

5

General Journal

Date	Details	Debit	Credit
2019 Jul 31	Cash at Bank Accrued Income <i>Accrued income received</i>	4,000	4,000

6

General Ledger

Cash at Bank

2019 Jul 31	Interest	4,000
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Accrued Income

2019 Jun 30	Interest	4,000	2019 Jul 31	Bank	4,000
----------------	----------	-------	----------------	------	-------

Question 16
A1 Traders

1

General Journal

Date	Details	Debit	Credit
2022 Jun 30	Accrued Income Interest Income <i>Accrued income on balance date.</i>	2,000	2,000

2

General Ledger
Accrued Income

2022 Jun 30	Interest	2,000	
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Interest Income

2022 Jun 30	Profit and Loss	9,000	2022 Apr 30	Bank	7,000
				Accrued Income	2,000
		<u>9,000</u>			<u>9,000</u>

3

Profit and Loss (extract)

2022 Jun 30	Interest	9,000
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4

A1 Traders
Balance Sheet (extract)
as at 30 June 2022
Current Assets

Accrued Income	2,000
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Question 16 continued
A1 Traders

4

General Journal			
Date	Details	Debit	Credit
2022 Aug 6	Cash at Bank Accrued Income <i>Accrued income received</i>	2,000	2,000

5

General Ledger

Cash at Bank			
2022 Aug 6	Interest	2,000	
Accrued Income			
2022 Jun 30	Interest	<u>2,000</u>	2022 Aug 6 Bank <u>2,000</u>

Question 17
Try Hard Traders

Part A

Try Hard Traders
Income Statement
for the year ended 30 June 2029

Sales			191,340
<i>Less Cost of Sales</i>			82,400
Gross Profit			108,940
Add Other Income			
Interest Income			659
			<u>109,599</u>
<i>Less Other Expenses</i>			
Selling and Distribution Expenses			
Cartage Outwards	3,530		
Sales Wages	18,301		
	<u> </u>		
Advertising	9,200	31,031	
	<u> </u>	<u> </u>	
General and Administration Expenses			
Insurance	7,200		
Rent	21,500		
	<u> </u>		
Office Wages	33,741	62,441	
	<u> </u>	<u> </u>	
Financial Expenses			
Bad Debts	3,710		
Interest on Loan	1,500	5,210	98,682
	<u> </u>	<u> </u>	<u> </u>
Profit			\$10,917

Part B

d

Question 18
Outback Adventure Tours

Profit and Loss

2024 Jun 30	Wages	17,800	2024 Jun 30	Fees	46,000
	Advertising	6,400		Interest	1,900
	Stationery	1,700			
	Rent	10,600			
	Capital (Profit)	11,400			
		47,900			47,900

Question 19
WA Couriers

1

General Journal

Date	Details	Debit	Credit
2019 Jun 30	Doubtful Debts Allowance for Doubtful Debts <i>Creation of allowance for doubtful debts.</i>	6,000	6,000

2

General Ledger
Doubtful Debts

2019 Jun 30	Allowance for Doubtful Debts	6,000	
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Allowance for Doubtful Debts

	2019 Jun 30	Doubtful Debts	6,000
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3

General Ledger
Doubtful Debts

2019 Jun 30	Allowance for Doubtful Debts	6,000	2019 Jun 30	Profit and Loss	6,000
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Profit and Loss (extract)

2019 Jun 30	Doubtful Debts	6,000	
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Question 19 continued
WA Couriers

4

WA Couriers
Balance Sheet (extract)
as at 30 June 2019

Current Assets

Accounts Receivable	70,000	
Less Allowance for Doubtful Debts	(6,000)	64,000
Total Current Assets		64,000

5

A doubtful debt is unlikely to be received a bad debt will not be received.

Question 20
Dirt Busters Cleaning Service

1

General Journal

Date	Details	Debit	Credit
2019 Jun 30	Doubtful Debts Allowance for Doubtful Debts <i>Creation of allowance for doubtful debts.</i>	8,000	8,000

Question 20 continued
Dirt Busters Cleaning Service

2

General Ledger

Doubtful Debts			
2019		2019	
Jun 30	Allowance for Doubtful Debts	Jun 30	Profit and Loss
	8,000		8,000

Allowance for Doubtful Debts			
		2019	
		Jun 30	Doubtful Debts
			8,000

Profit and Loss (extract)			
2019			
Jun 30	Doubtful Debts	8,000	

4

Dirt Busters Cleaning Service
Balance Sheet (extract)
as at 30 June 2019

Current Assets		
Accounts Receivable	91,000	
Less Allowance for Doubtful Debts	(8,000)	83,000

Question 21
Industry Traders

1

General Ledger

Bad Debts

2019			2019		
Jun 30	Balance	700	Jun 30	Allowance for Doubtful Debts	700

Allowance for Doubtful Debts

2019			2018		
Jun 30	Bad Debts	700	Jul 1	Balance	1,000
	Balance c/d	3,000	2019		
			Jun 30	Doubtful Debts	2,700
		3,700			3,700
			Jul 1	Balance b/d	3,000

Doubtful Debts

2019			2019		
Jun 30	Allowance for Doubtful Debts	2,700	Jun 30	Profit and Loss	2,700

Profit and Loss

2019					
Jun 30	Doubtful Debts	2,700			

Question 21 continued
Industry Traders

2

General Journal

Date	Details	Debit	Credit
2019 Jun 30	Allowance for Doubtful Debts Bad Debts <i>Transfer of bad debts to allowance for doubtful debts.</i>	700	700
	Doubtful Debts Allowance for Doubtful Debts <i>Allowance for doubtful debts set at \$3,000.</i>	2,700	2,700

Question 22
Esperance Traders

1

General Ledger

Bad Debts

2019			2019		
Jun 30	Balance	5,000	Jun 30	Allowance for Doubtful Debts	5,000

Allowance for Doubtful Debts

2019			2018		
Jun 30	Bad Debts	5,000	Jul 1	Balance	2,000
	Balance c/d	3,000	2019		
			Jun 30	Doubtful Debts	6,000
		8,000			8,000
			Jul 1	Balance b/d	3,000

Question 22 continued
Esperance Traders

Doubtful Debts

2019			2019		
Jun 30	Allowance for Doubtful Debts	6,000	Jun 30	Profit and Loss	6,000

2

General Journal

Date	Details	Debit	Credit
2019 Jun 30	Allowance for Doubtful Debts Bad Debts <i>Transfer of bad debts to allowance for doubtful debts.</i>	5,000	5,000
	Doubtful Debts Allowance for Doubtful Debts <i>Allowance for doubtful debts set at \$3,000.</i>	6,000	6,000

Question 23
Mount Barker Suppliers

Bad Debts

2019			2019		
Jun 30	Balance	3,000	Jun 30	Allowance for Doubtful Debts	3,000

Allowance for Doubtful Debts

2019			2019		
Jun 30	Bad Debts	3,000	Jun 30	Balance	5,000
	Balance c/d	4,000		Doubtful Debts	2,000
		7,000			7,000
			Jul 1	Balance b/d	4,000

Doubtful Debts

2019					
Jun 30	Allowance for Doubtful Debts	2,000			

Question 24
Katanning Suppliers

Bad Debts

2019			2019		
Jun 30	Balance	6,710	Jun 30	Allowance for Doubtful Debts	6,710

Allowance for Debts

2019			2019		
Jun 30	Bad Debts	6,710	Jun 30	Balance	4,000
	Balance c/d	3,100		Doubtful Debts	5,810
		9,810			9,810
			Jul 1	Balance b/d	3,100

Doubtful Debts

2019					
Jun 30	Allowance for Doubtful Debts	5,810			

Question 25

1

Calculation of insurance expense

Expense				Asset							
M	A	M	J	<i>J</i>	<i>A</i>	<i>S</i>	<i>O</i>	<i>N</i>	<i>D</i>	<i>J</i>	<i>F</i>
1 March 2019											28 February 2020
Paid			Balance Date								Expires

From the diagram it can be seen that 4 months of the insurance policy has been used by balance day, therefore, 4 months are recorded as the insurance expense.

The amount of insurance expense is $4/12 \times \$600 = \200

2

Calculation of insurance expense

Expense			Asset								
A	M	J	<i>J</i>	<i>A</i>	<i>S</i>	<i>O</i>	<i>N</i>	<i>D</i>	<i>J</i>	<i>F</i>	M
1 April 2019											31 March 2020
Paid		Balance Date									Expires

From the diagram it can be seen that 3 months of the insurance policy has been used by balance day, therefore, 3 months are recorded as the insurance expense.

The amount of insurance expense is $3/12 \times \$800 = \200

Question 25 continued

3

Calculation of insurance expense

Expense					Asset						
F	M	A	M	J	J	A	S	O	N	D	J
1 February 2019											31 January 2020
Paid	Balance Date										Expires

From the diagram it can be seen that 5 months of the insurance policy has been used by balance day, therefore, 5 months are recorded as the insurance expense.

The amount of insurance expense is $5/12 \times \$600 = \250

4

Calculation of advertising expense

April	May	June	July
Expense			Asset

From the diagram it can be seen that 3 months of the advertising contract which was taken for a period of 4 months has been used by balance day, therefore, 3 months are recorded as the advertising expense.

The amount of advertising expense is $3/4 \times \$600 = \450

5

Calculation of stationery expense

Stationery on hand 1 July 2018	200
Add stationery purchased	5,000
	5,200
Less stationery on hand at 30 June 2019	100
Stationery expense for the year	\$5,100

Question 25 continued

6

Calculation of stationery expense

Stationery on hand 1 July 2005	100
Add stationery purchased	4,200
	4,300
Less stationery on hand at 30 June 2006	300
Stationery expense for the year	\$3,900

7

Calculation of accrued wages

Tuesday	Wednesday	Thursday	Friday
Pay Day	\$280	\$280	\$280
			Balance Day

From the diagram it can be seen that 3 days wages will be owing but unpaid at balance day.

The total wages paid each week is \$1,400 (\$280 per day), therefore, the accrued expense is $\$1,400 \times 3/5 = \840

8

Calculation of accrued wages

Thursday	Friday	Monday
Pay Day	\$320	\$320
		Balance Day

From the diagram it can be seen that 2 days wages will be owing but unpaid at balance day.

The total wages paid each week is \$1,600 (\$320 per day), therefore, the accrued expense is $\$1,600 \times 2/5 = \640

Question 26

Gotcha Pest Controllers

Workings

Calculation of accrued wages

Thursday	Friday	Monday
	\$400	\$400
Pay Day		Balance Day

From the diagram it can be seen that 2 days wages will be owing but unpaid at balance day.

The accrued expense is $\$400 \times 2/5 = \800

Calculation of advertising expense

May	June	July	August	September	October
2 months		4 months			
Expense		Asset			

From the diagram it can be seen that 2 months of the advertising has been used by balance day. Therefore, 2 months is recorded as the advertising expense.

The amount of advertising expense is $2/6 \times \$6,000 = \$2,000$

Question 26 continued
Gotcha Pest Controllers

General Journal

Date	Details	Debit	Credit
2019 Jun 30	Wages Accrued Expenses <i>Accrued wages on balance date.</i>	800	800
	Advertising Expense Prepaid Advertising <i>Advertising expense for the year.</i>	2,000	2,000

Question 27
U Learn Driving School

1

Workings

Calculation of accrued wages

Thursday	Friday	Monday	Tuesday	Wednesday
Pay Day				Balance Date

From the diagram it can be seen that 4 days wages will be owing but unpaid at balance day.

The total wages paid each week is \$800, therefore, the accrued expense is
 $\$3,100 \times 4/5 = \$2,480$

General Journal

Date	Details	Debit	Credit
2027 Jun 30	Wages Accrued Expenses <i>Accrued wages on balance date.</i>	2,480	2,480

Question 27 continued
U Learn Driving School

2

General Journal

Date	Details	Debit	Credit
2027 Jun 30	Unearned Income Fees <i>Fees income for the year.</i>	68,500	68,500

3

Calculation of accrued income

4 Months				1 Month
28 February				
Amount Paid			Balance Date	

From the diagram it can be seen that 4 months interest has been earned but not yet received.

The term deposit is \$84,000 at 10%, therefore, the yearly interest is \$8,400. Monthly interest is \$700.

The amount of accrued income is $4 \times \$700 = \$2,800$

General Journal

Date	Details	Debit	Credit
2027 Jun 30	Accrued Income Interest Income <i>Accrued income on balance date.</i>	2,800	2,800

Question 28
Tardun Traders

Entry A

General Journal

Date	Details	Debit	Credit
2019 Jun 30	Wages	350	
	Accrued Expenses		350
	<i>Accrued wages on balance date.</i>		

Question 29
Yalgoo Traders

Adjusting ledger entry

Wages Expense

2019 Jun 30	Balance	72,000	2019 Jun 30	Profit and Loss	72,341
	Accrued Expenses	341			

Accrued Expenses

			2019 Jun 30	Wages	341
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Profit and loss ledger account entry

Profit and Loss

2019 Jun 30	Wages	72,341			
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Balance sheet entry

Bunbury Traders
Balance Sheet (extract)
as at 30 June 2019

Current Liabilities	
Accrued Wages	341

Question 30
Able Coaching Services

Adjusting general journal entry

General Journal

Date	Details	Debit	Credit
2019 Jun 30	Telephone	210	
	Accrued Expenses		210
	<i>Accrued telephone expense on balance date.</i>		

Adjusting ledger entry

Telephone Expense

2019 Jun 30	Balance	1,400	2019 Jun 30	Profit and Loss	1,610
	Accrued Expenses	210			

Accrued Expenses

			2019 Jun 30	Telephone	210

Profit and loss ledger account entry

Profit and Loss

2019 Jun 30	Telephone	1,610			

Balance sheet entry

Able Coaching Service
Balance Sheet (extract)
as at 30 June 2019

Current Liabilities	
Accrued Expenses	210

Question 31
Radio Station Here4U

The accrued wages in the balance sheet on 30 June 2022 is:

- a \$200

Question 32
Oz Mortgage Brokers

The electricity expense in the profit and loss ledger account is:

- b \$24,530

Question 33
Albany Traders

The wages expense in the profit and loss ledger account is:

- c \$31,500

Question 34
Moora Traders

Entry A

General Journal

Date	Details	Debit	Credit
2019 Jun 30	Rent	30,100	
	Prepaid Rent		30,100
	<i>Rent expense for the year.</i>		

Question 35
Broome Traders

Adjusting ledger entry

Prepaid Rent

2021 Jun 30	Balance	26,000	2021 Jun 30	Rent Expense	25,000

Rent Expense

2021 Jun 30	Prepaid Rent	25,000	2021 Jun 30	Profit and Loss	25,000

Profit and loss ledger account entry

Profit and Loss

2021 Jun 30	Rent	25,000			

Balance sheet entry

Broome Traders
Balance Sheet (extract)
as at 30 June 2021

Current Assets	
Prepaid Rent	1,000

Question 36
Furniture Land

Furniture Land
Balance Sheet (extract)
as at 30 June 2024

Current Asset	
Prepaid Insurance	300

Question 37
Coolimba Traders

Profit and loss ledger account entry

Profit and Loss

2021 Jun 30	Rent	6,700			
	Insurance	1,600			

Question 38
Narrogin Traders

Adjusting ledger entry

Prepaid Advertising

2025 Jun 30	Balance	5,300	2025 Jun 30	Advertising Expense	5,100

Advertising Expense

2025 Jun 30	Prepaid Advertising	5,100	2025 Jun 30	Profit and Loss	5,100

Profit and loss ledger account entry

Profit and Loss

2025 Jun 30	Advertising	5,100			

Balance sheet entry

Narrogin Traders
Balance Sheet (extract)
as at 30 June 2025

Current Assets	
Prepaid Advertising	200

Question 39
City Dance School

Entry B

General Journal

Date	Details	Debit	Credit
2019 Jun 30	Unearned Income Fees <i>Fees income for the year.</i>	59,000	59,000

Question 40
Tours of the South West

Adjusting ledger entry

Unearned Income

2021 Jun 30	Fees	66,200	2021 Jun 30	Balance	67,000

Fees Income

2021 Jun 30	Profit and Loss	66,200	2021 Jun 30	Unearned Income	66,200

Profit and loss ledger account entry

Profit and Loss

			2021 Jun 30	Fees	66,200

Balance sheet entry

Tours of the South West
Balance Sheet (extract)
as at 30 June 2021

Current Liabilities	
Unearned Income	800

Question 41
Learner Business School

Learner Business College
Balance Sheet (extract)
as at 30 June 2027

Current Liabilities	
Unearned Income	2,000

Question 42
Fast Forward Coaching College

Profit and loss ledger account entries

Profit and Loss

2019 Jun 30	Rent	20,200	2019 Jun 30	Fees	69,600

Question 43
Advanced Cooking School

Adjusting ledger entry

Unearned Income

2022 Jun 30	Fees	71,000	2022 Jun 30	Balance	79,000

Fees Income

2022 Jun 30	Profit and Loss	71,000	2022 Jun 30	Unearned income	71,000

Profit and loss ledger account entry

Profit and Loss

			2022 Jun 30	Fees	71,000

Question 43 continued**Balance sheet entry**

**Advanced Cooking School
Balance Sheet (extract)
as at 30 June 2022**

Current Liabilities	
Unearned Income	8,000

**Question 44
Donnybrook Traders**

Entry A**General Journal**

Date	Details	Debit	Credit
2019 Jun 30	Accrued Income Interest Income <i>Accrued income on balance date.</i>	1,300	1,300

**Question 45
Northam Traders**

Adjusting ledger entry**Interest Income**

2024 Jun 30	Profit and Loss	5,900	2024 Jun 30	Balance	5,100
				Accrued Income	800

Accrued Income

2024 Jun 30	Interest	800			

Question 45 continued**Profit and loss ledger account entry****Profit and Loss**

			2024 Jun 30	Interest	5,900

Balance sheet entry

Northam Traders
Balance Sheet (extract)
as at 30 June 2024

Current Assets	
Accrued Income	800

Question 46**Bencubbin Traders****Adjusting ledger entry****Interest Income**

2022 Jun 30	Profit and Loss	9,500	2022 Jun 30		8,200
				Accrued Income	1,300

Accrued Income

2022 Jun 30	Interest	1,300			

Profit and loss ledger account entry**Profit and Loss**

			2022 Jun 30	Interest	9,500

Balance sheet entry

Bencubbin Traders
Balance Sheet (extract)
as at 30 June 2022

Current Assets	
Accrued Income	1,300

Question 47
WA Business College

WA Business College Income Statement (extract) for the year ended 30 June 2019		WA Business College Balance Sheet (extract) as at 30 June 2019	
		Current Assets	
Fees	73,000	Accounts Receivable	6,100
<i>Less Expenses</i>		Allowance for Doubtful Debts	(100)

Question 48
West Coast Traders

Allowance for Doubtful Debts			
2021		2020	
Jun 30	Bad Debts	Jul 1	Balance
			2,000
	Balance c/d	2021	
		Jun 30	Doubtful Debts
			6,000
			8,000

b \$6,000

Question 49
A2B Couriers

A2B Couriers Income Statement (extract) for the year ended 30 June 2021		A2B Couriers Balance Sheet (extract) as at 30 June 2021	
		Current Assets	
Fees	86,000	Accounts Receivable	37,300
<i>Less Expenses</i>		Allowance for Doubtful Debts	(1,300)

Question 50
Mandurah Traders

Allowance for Doubtful Debts					
2025			2024		
Jun 30	Bad Debts	3,000	Jul 1	Balance	1,600
	Balance c/d	2,000	2025		
			Jun 30	Doubtful Debts	3,400
		5,000			5,000

The doubtful debts expense in the income statement for the year ended 30 June 2025 was:

a \$3,400

Question 51
Delivery Couriers

1

Profit and Loss					
2025			2025		
Jun 30	Wages	8,400	Jun 30	Fees	12,600
	Interest on Loan	1,000			
	Petrol and Oil	300			
	Insurance	110			
	Capital (Profit)	2,790			
		12,600			12,600

2

The final cash at bank balance includes the repayment of a loan, a reduction in a liability and not an expense, drawings of the owner which is not an expense and GST credits, an asset.

Question 52
Excel Business College

1

Workings

Allowance for Doubtful Debts

2019			2018		
Jun 30	Bad Debts	4,000	Jul 1	Balance	3,000
	Balance c/d	2,000	2019		
			Jun 30	Doubtful Debts	3,000
		<u>6,000</u>			<u>6,000</u>
			Jul 1	Balance b/d	2,000

General Journal

Date	Details	Debit	Credit
2019 Jun 30	Rent Expense Prepaid Rent <i>Rent expense for the year.</i>	39,000	39,000
	Unearned Income Fees <i>Fees income for the year.</i>	78,000	78,000
	Wages Accrued Expenses <i>Accrued expense on balance day.</i>	3,000	3,000
	Stationery Expense Stationery Asset <i>Stationery expense for the year.</i>	3,000	3,000

Question 52 continued
Excel Business College

1

General Journal

Date	Details	Debit	Credit
2019 Jun 30	Insurance Expense Prepaid Insurance <i>Insurance expense for the year.</i>	2,000	2,000
	Bad Debts Accounts Receivable <i>Amount owing from as debtor written off as a bad debt.</i>	4,000	4,000
	Doubtful Debts Allowance for Doubtful Debts <i>Allowance for doubtful debts set at \$2,000.</i>	3,000	3,000
	Accrued Income Interest Income <i>Accrued Interest on balance date.</i>	310	310

Question 52 continued
Excel Business College

2

General Ledger

Profit and Loss

2019 Jun 30	Rent	39,000	2019 Jun 30	Fees	78,000
	Wages	70,000		Interest	1,310
	Insurance	2,000		Capital (Loss)	37,690
	Stationery	3,000			
	Doubtful Debts	3,000			
		117,000			117,000

3

Excel Business College
Balance Sheet (extract)
as at 30 June 2019

Current Assets

Accrued Income		310
Prepaid Rent		1,000
Prepaid Insurance		1,000
Stationery Asset		2,000
Accounts Receivable	16,000	
Less Allowance for Doubtful Debts	(2,000)	14,000

\$18,310

Current Liabilities

Accrued Expenses		3,000
Unearned Income		2,000
		<u>\$3,000</u>

Question 53**Calculation of Sales**

$$\$55 \times [(30 \text{ handbags} + 150 \text{ handbags}) - 22] = \$8,690$$

Cost of Sales

$$\$29 \times [(30 \text{ handbags} + 150 \text{ handbags}) - 22] = \$4,582$$

Insurance Expense

$$\$540 \times 3/12 = \$135$$

Profit and Loss

2025 Dec 31	Cost of Sales	4,582	2025 Dec 31	Sales	8,690
	Rent	600			
	Wages	107			
	Interest	229			
	Stationery	317			
	Insurance	135			
	Capital (Profit)	2,720			
		8,690			8,690